

I know not everyone will consider their mortgage payment a priority, but I urge you to take a few minutes and imagine what your budget would look like if you didn't have a housing payment. Would you have an extra \$800, \$900, or \$1,000 in your pocket? Once you envision all the things that money could go to rather than your mortgage, I think you'll kick yourself for not at least considering it. These ideas will help whittle down your payment, and make it a little more doable each month:

1. MAKE ONE EXTRA PAYMENT PER YEAR

Even if you don't do anything else, make just one extra principal payment every twelve months. Not only will you shave years off your loan, you'll also save thousands of dollars in interest. It's surprisingly easy to "find" extra money to put towards it too.

For instance, if you have a job that pays every two weeks, you receive 26 paychecks over the course of a year. Let's break it down even further and say you cover half your monthly mortgage payment from each paycheck, equaling 24 payments a year. That means you have two extra half payments to work with, or one full payment to put towards your mortgage!

Curious to know how much one payment actually saves? Here's an example:

Let's say you finance a home for \$150,000 at a 4.5% interest rate for 30 years. Your monthly payment is \$760.03. Over the life of the loan, you would pay a total of \$273,610.07 to the bank.

But if you make one extra principal payment of \$760.03 per year, you not only reduce your mortgage by 4 years and 7 months, but you also pay only \$251,022.59—a total savings of \$22,587.48—just for making one extra payment!²

If making that extra payment at the end of the year seems daunting, talk to your bank to see if you can make payments every two weeks. You're